Mark schemes

1. **Issues and areas for discussion include**

Introduction	• government borrowing put into its fiscal context • the basic functions of government borrowing, e.g. to finance spending in a way that negates the need to raise taxes or to help supplement the revenue from tax as tax rates are raised • the recent UK experience and/or that of other countries • the significance of the Budget and Pre-Budget reports in the UK
Developing the response to the question:	• an outline of the criteria for assessing concern • the potential impact on inflation/deflation • economic growth • employment • cyclical reasons for borrowing, perhaps argued as essential in the circumstances • business and consumer confidence • the exchange rate • interest rates • the impact on the private sector, e.g. complacency • 'crowding-out' • the potential difficulty of financing a large borrowing requirement • the possible impact on the money supply • the potential impact on future tax-payers • any other valid issue
Evaluation	• the level of concern/acceptability of borrowing may depend on the economic circumstances at the time • concern may depend on the actual level of borrowing • assessment may be coloured by the decisions made by other countries • borrowing needs to be related to the National Debt to help any assessment • the uses to which the borrowed money is put • whether borrowing creates a necessity to raise taxes in the future or to cut spending • whether it breaks any fiscal rules and, in turn, whether this is seen as important (up to mid-2008 the UK Code for Fiscal Stability and the on-going EU Stability and Growth Pact) *Examiners should note that it may be possible to award some marks for basic evaluation such as a consideration of the advantages and disadvantages of increased spending which has led to the need to*

	borrow more. However, this must be considered as low-level evaluation and awarded accordingly.
Also give credit for:	• relevant use of evidence and examples from other economies • diagrams • an overall judgement on the issues raised

[25]

EXAM PAPERS PRACTICE

2.

- define government expenditure;
- place expenditure into the context of the Budget and hence taxation;
- explain the difference between 'level' and 'distribution' of government expenditure

explain reasons for changes in the level of expenditure, e.g.

- cyclical: in a recession, for example, welfare spending will automatically increase as more of the population become eligible, but government may also decide to spend more over and above this in order to minimise the recession and initiate a multiplier effect through capital project schemes
- new decisions made over the provision of merit goods
- new decisions made over the provision of public goods
- to influence the distribution of income
- changed priorities regarding the drive to reduce poverty and the general standard of living of the population
- to underpin key sectors of the economy, e.g. financial services, the car industry
- changing taxation revenue allows an increase in, or makes it necessary to reduce, government spending
- changing views on government borrowing to finance spending plans

explain reasons for changes in the distribution of government expenditure, e.g.

- changing economic circumstances, brought about by changing domestic or international conditions, which in addition to changing the level of spending, may cause governments to have to re-distribute spending, e.g. reducing defence spending in order to give more support to domestic sectors of the economy, e.g. banks or postponing capital projects in order to increase welfare payments
- the changed priorities of a new government compared to the previous government or a long-standing existing government trying to breathe new life into itself, e.g. action on poverty might cause less spending on transport
- demand-determined items of expenditure (perhaps reference to a cyclical/structural distinction)
- the impact of an ageing population
- changing levels of concern internationally over environmental issues forces the UK government to commit more spending to the problem which could reduce, for example, the government financial support for the arts/culture etc
- public or private sector investigations and reports highlight failings in key parts of the public sector, notably education and the NHS, and these are therefore given priority in spending over defence, for example
- the topical issue of interest payments on the National Debt

Reward references to the UK/other economies

It should be possible for an A-Level student to disaggregate government spending and address the issue of distribution, rather than just consider the level of spending.

[15]

3.

Issues and areas for discussion include

Introduction	• protectionism v free trade • the UK balance of payments on current account • the work of GATT/WTO • the Doha Round of talks • types of protectionism
Developing the response to the question:	• an overview of UK exports/imports; manufactures v services • competitiveness of exports, e.g. productivity trends, innovation, design, other non-price factors which might compensate for increased protectionism or mean that we are at a greater disadvantage if these factors remain weak • the potential significance of the exchange rate • supply and demand elasticity conditions as far as exports and imports are concerned • the danger of further deindustrialisation and the consequent impact on the balance of payments on current account • the potential significance of the EU trade bloc and whether even more of our trade is with the EU as protectionism elsewhere increases • account in the context of impediments to trade of various kinds • any other valid issue
Evaluation	• the impact on the balance of payments may depend on the extent of the increased protectionist policies • the impact may depend on the level of protectionism which existed before the further increase in trade barriers • the degree of impact may depend on the flexibility of the supply-side of the UK economy to take appropriate action given the specific nature of increased protectionism • the economic conditions in which the strengthening takes place around the world will be significant • given that the UK may be part of the process of strengthening, it will have to consider the impact on import flows compared to the impact on export performance • of some importance will be the particular elasticity conditions for exports and imports • the different parts of the current account might be affected in different ways *Examiners should note that it may be possible to award some marks for basic evaluation such as a consideration of the advantages and disadvantages of protectionism. However, this must be considered as*

	low-level evaluation and awarded accordingly.
Also give credit for:	• relevant use of evidence and examples from other economies • diagrams • an overall judgement on the issues raised

[25]

4.

- define imports;
- relate import performance to export performance, perhaps with an invisible/visible
- reference;
- explain imports in the context of the balance of payments on current account, perhaps referring to imports explicitly as a debit item;
- put imports into the context of the circular flow of income

explain determinants of a country's demand for imports, eg

- income which allows consumers to demand more goods and services, assuming disposable income also increases with gross income. Some will be purchased from overseas sources, given that UK consumers traditionally display a high propensity to import. This may be for reasons such as consumer preference, as characteristics such as quality and after-sales service are seen to be stronger in imports or because the goods or services in question are no longer produced/supplied in the domestic economy.
- relative prices (terms of trade)
- protectionist policies
- cheaper credit helping to finance purchases
- deindustrialisation
- raw material, component and energy requirements
- the impact of the Single European Market
- exchange rate trends
- cyclical factors, e.g. recession
- a change in comparative advantage

Reward references to the UK economy

[15]

5.

Issues and areas for discussion include

Introduction	• deflation v inflation • criteria for assessing the economic impact of deflation • the relevance of the issue to the last few years
Developing the response to the question:	• the shorter term benefits in terms of consumer demand for goods and services falling in price • competitiveness • impact on profits and hence possibly on investment and on sustainability of businesses • the impact on confidence, especially where deflation is a feature of a recession • economic growth • employment • trade flows and the impact on the balance of payments on current account • inward investment • UK experience • the potential impact on consumer demand • the impact on the real value of debt, important particularly in light of high UK home ownership • the impact on the exchange rate • any other valid issue
Evaluation	• whether or not deflation has set in worldwide or just nationally • the extent of the deflation • the duration of the deflation • the flexibility/resources the government/central bank has to deal with the problem • the extent of damage to consumer and business confidence • how much it impacts on profits • whether deflation causes consumers to keep delaying purchases hoping for even lower prices *Examiners should note that it may be possible to award some marks for basic evaluation such as a consideration of the advantages and disadvantages of deflation. However, this must be considered as low-level evaluation and awarded accordingly.*
Also give credit for:	• relevant use of evidence and examples from other economies • diagrams

	• an overall judgement on the issues raised

[25]

6.

Issues and areas for discussion include

Introduction	• explanation of globalisation • how benefit can be measured • macroeconomic performance criteria
Developing the response to the question:	• economic growth • employment/unemployment • inflation/price stability/deflation • trade flows • investment flows • balance of payments • competitiveness • any other valid issue
Evaluation	• not knowing what might have happened to the UK economy had globalisation not become so evident • the assessment may depend on the view taken of how significant or essential globalisation has been in bringing about various domestic supply-side reforms • whether cyclical factors have sometimes prevented the UK from obtaining the full benefit of globalisation *Examiners should note that it may be possible to award some marks for basic evaluation such as a consideration of the advantages and disadvantages of globalisation. However, this must be considered as low-level evaluation and awarded accordingly.*
Also give credit for:	• relevant use of evidence and examples not contained in the data • diagrams • an overall judgement on the issues raised

[25]

7.

Explanation

- Define trade, investment, economic growth or any other relevant term except recession.
- Explain the concept of world recession, eg
  - define 'recession' or 'world recession' (one definition would be the UK official definition applied to the global economy of two successive quarters of negative GDP growth)
  - explain likely features of recession such as lower investment, higher unemployment, lower inflation or deflation (do not credit in such an explanation reference to negative GDP growth if this has already formed part of a definition, unless some points are added in order to provide an explanation)
  - comment on 'world', perhaps suggesting that it may be a term used when only some key areas of the global economy are in recession; referring to how a key area such as the US might draw other parts of the global economy into recession; make reference to the global nature of the recession of recent years
- Analyse how trade and investment might help cause economic growth, eg

Trade:

- a country's improved export performance can help create growth by output being increased to meet higher overseas demand and this then stimulating a multiplier effect which will lead to higher output and employment beyond the export sector itself
  - trade as a stimulant to innovation
  - trade as a stimulant to investment
  - trade as an incentive for a range of supply-side reforms
  - trade encouraging competition, so providing a possible stimulant to static and dynamic efficiency

Investment:

- investment is a component of AD so higher investment might produce higher actual growth but it is also a supply-side determinant of growth in that it helps create higher output through increased rates of innovation and labour productivity
  - investment producing growth-inducing structural change
  - investment producing growth-inducing infra-structure developments
  - investment in human capital
  - any other valid point

Reward references to the UK/other economies

[9]

8.

It is hoped that candidates will briefly explain the macroeconomic criteria by which consequences can be measured, before providing some discussion of the potential impact of appreciation and arriving at a final judgement.

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction	• appreciation versus depreciation of currency • criteria for measuring macroeconomic consequences • exchange rate systems.
Developing the response to the question:	• the potential impact on economic growth as exports perhaps become more difficult to sell overseas • the possible stimulus to growth as imports of raw materials and energy become cheaper • the possible benefits to inflation as lower demand for exports reduces pressure on domestic production and resources and imports of goods and services are cheaper • the impact on employment as cheap imports threaten domestic production and hence jobs and as the overseas demand for exports falls away • the impact on a significant tourist industry in the economy concerned and hence on growth and jobs in an expanding sector of an increasingly service economy • the impact on the balance of payments on current account given relative changes in exports and imports of goods and services • the strong currency making inward investment less attractive, perhaps affecting growth and jobs.
Evaluation	• the extent of the rise in the exchange rate • the external value of the currency from which the rise begins to take place • the significance of the exchange rate factor compared to other influences on the macro-economy • whether or not exports have been an important, or sole, cause of growth for an economy • elasticity conditions for exports and imports • the period of time in which the appreciation lasts • the role of speculators in terminating the rise • the effectiveness / speed of a corrective market mechanism or a decision to 'dirty float'

	• the state of the world economy as the appreciation takes place, eg might a prosperous world merely absorb higher prices arising from a country's exchange rate appreciation? *Examiners should note that it may be possible to award some marks for basic evaluation such as for a general account of the pros and cons of appreciation, but with minimal reference to the macro-economy. However, this must be considered as low-level evaluation and awarded accordingly.*
Also give credit for:	• reference to the UK / other economies • diagrams • an overall judgement on the issues raised

[25]

9.

It is anticipated that candidates will review the various consequences of both inflation and deflation, a review interspersed with evaluative comments, before arriving at a final judgement. Examiners should reward well informed, relevant discussion and conclusion.

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction	• the concept of price stability / price instability • definitions of inflation and deflation • the UK experience of recent years • the UK Government's setting of an inflation target • price stability as a desired objective and its relationship with other macroeconomic objectives.
Developing the response to the question:	• inflation damaging competitiveness with a potential impact on the balance of payments on current account • anti-inflation policies which are potentially harmful to the economy • the impact on business and household confidence • the impact on real income and hence real spending power • the ultimate damage to economic growth and jobs • deflation as being far less common than inflation in many economies • the impact on real incomes and real purchasing power • the dangers of consumer postponement of purchases hoping that prices will fall further • the impact on profits • the impact of lower profits and lower business confidence on investment • the potential benefits of reflationary policies • the benefits of falling prices to competitiveness • the possible harm done to growth and jobs • the impact on creditors / debtors • whether one is more / less anticipated than the other
Evaluation	• the extent of the problem, i.e. how significant the rate of inflation or deflation is • the length of time in which prices rise or fall • the potential benefits of mild inflation which might not be said of mild deflation

	• the relative ease / difficulty of executing, and making effective, policies to deal with either of the problems • the simultaneous experience of other countries • whichever problem prevails, the danger of the authorities overshooting targets, eg. quantitative easing and low interest rates bringing too much reflation and hence more inflation • the difficulty of making a judgement without more detailed information on an actual occurrence and the events surrounding it • both inflation and deflation have redistributive effects and it is impossible to predict which might be the more beneficial • a realistic conclusion is that, whatever the relative impact, neither may be desirable and the authorities should be aiming for a period of sustained price stability *Examiners should note that it may be possible to award some marks for basic evaluation such as for a general account of the pros and cons of inflation and / or deflation, but with no attempt to place them into the context of the question or to prioritise them explicitly. This must be considered as low-level evaluation and awarded accordingly.*
Also give credit for:	• reference to the experiences of other economies • diagrams • an overall judgement on the issues raised

[25]

10.

It is hoped that candidates will be able to display a good knowledge of recent supply-side reforms (both government policy and private sector initiatives) and then be able to arrive at an informed judgement by relating the impact of them to demand-side initiatives.

The issues identified below are intended to provide an indication of some of the areas which might be discussed. Candidates can only be expected to consider a few of these and / or other issues in the time available.

Issues and areas for discussion include:

Introduction	• the economic cycle with particular reference to recession • the nature of supply-side reforms • brief reference to alternative policies for helping recovery • macroeconomic objectives.
Developing the response to the question:	• more detailed references to supply-side reforms such as welfare-to-work, mobility policies, training and education • the way in which supply-side reforms may help reduce conflict between macroeconomic objectives such as growth and inflation • supply-side reforms helping to achieve sustained growth • supply-side reforms and the UK experience • policies designed to influence aggregate demand (AD) • a balanced approach to managing the economy, for example, managing AD with the short / medium term in mind while developing supply-side reforms designed to have a long-term impact.
Evaluation	• consequences may all depend on the nature and scale of the reforms • is ‘avoidance’ wishful thinking when alleviation is probably a more realistic aspiration, especially when placed in an international context? • supply-side reforms can give an underlying strength to an economy which might help avoid recessions • the net effect may be small if Africa compensates for the decline of other UK markets (temporary or permanent) • global recession which impacts on any one economy may require an immediate (perhaps Keynesian) response on the demand side and continuing demand management policies • the limited immediate relevance of supply-side reforms whatever the economic shock suffered • the inability of markets to deal at all with serious shocks to the macro-economy even where there have been supply-side reforms • such a response may also be seen as most appropriate even if a downturn is peculiar to one economy

	• the benefits of supply-side reforms becoming apparent in a global recession when other economies begin to recover • a strong impetus for supply-side reforms may only appear because of a recession rather than as a consequence of recession (and so the changes in the economic cycle come first) • the prospect that supply-side reforms can help sustain periods of high economic growth and prevent any downturn, e.g. they help avoid or control inflation as an economy grows. • it should not always be assumed that recessions have no benefits, eg providing an impetus to efficiency drives and structural reform, and supply-side reforms may ease this process • the value of comparing interventionist versus free-market supply-side measures. *Examiners should note that it may be possible to award some marks for basic evaluation such as for a general account of the pros and cons of supply-side reforms, but with no attempt to place them into the context of the question or to prioritise them explicitly. This must be considered as low-level evaluation and awarded accordingly.*
Also give credit for:	• reference to the experiences of other economies • diagrams • an overall judgement on the issues raised

[25]